# ZekiRex™ Apex US

Daily — the market, what happened, what to do today

Friday, October 23 · close 10/22 · 6-minute read

The ZekiRex Compass is at yellow. The S&P 500 sits 2.0% below its 52-week high, still near record territory, yet the Compass stays yellow because not every condition is met. The Russell 2000 sits 9.3% below its high and is at red. Read the Compass before the index position.

## Nasdaq drops 2.6% as Brent jumps 4% to $113

**THE REX CALL** — New York closed Oct. 22 on a chip-led tech selloff, and money moved into Treasurys, pushing the 10-year yield below 5%. The signal is yellow and 15 of a 25-name limit clear our bar — today's stance: add exposure.

### The whole picture

| | |
|---|---|
| Market signal · Rex Compass<br>**Yellow**<br>S&P 500 Yellow · Nasdaq Yellow · Russell 2000 Red | Rex 25 — clearing the bar<br>**15/25**<br>Software - Infrastructure 3 · Oil & Gas Refining & Marketing 3 · Computer Hardware 2<br>new 1 · out 2 |
| Live account<br>**8 holdings**<br>+0.76% · S&P 500 −0.86%<br>since 8/11 | Today's stance<br>**Add exposure**<br>5-day hit rate 54%<br>20-day 71% (31 results) |

### Last issue, checked

**Missed** The Oct. 22 issue said its reading was wrong if the Nasdaq fell more than futures in regular trading. Futures were down 1.8%; the Nasdaq fell 2.60%. The Oct. 21 gains did not hold.

**Hit** The same issue said oil producers would benefit if Brent held above its Oct. 21 settlement of $108.80. Brent closed Oct. 22 at $113.20.

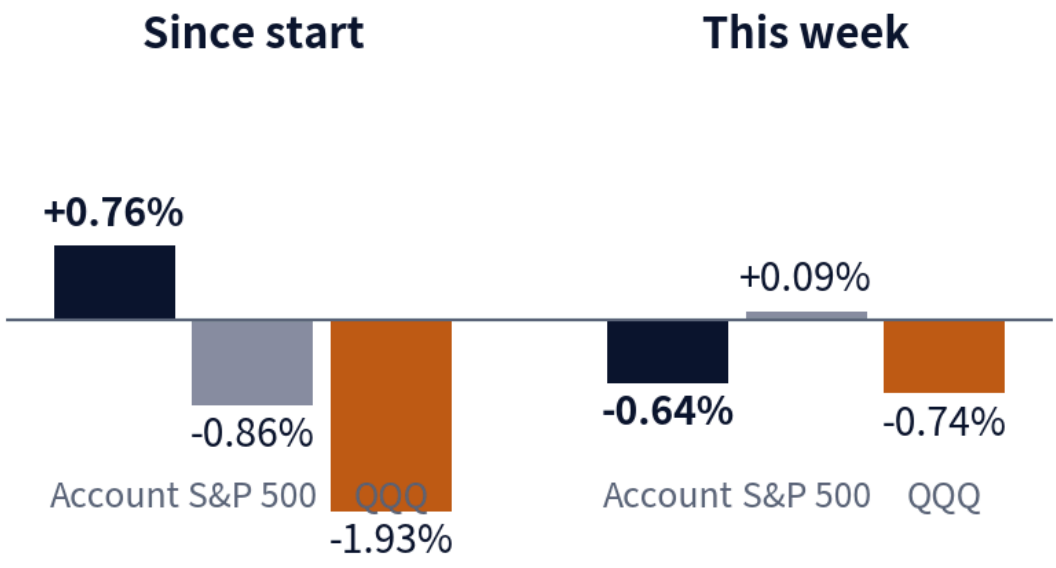
### ① Rex scorecard — returns against the index

**1. Live account**

## Live account vs S&P 500 and QQQ

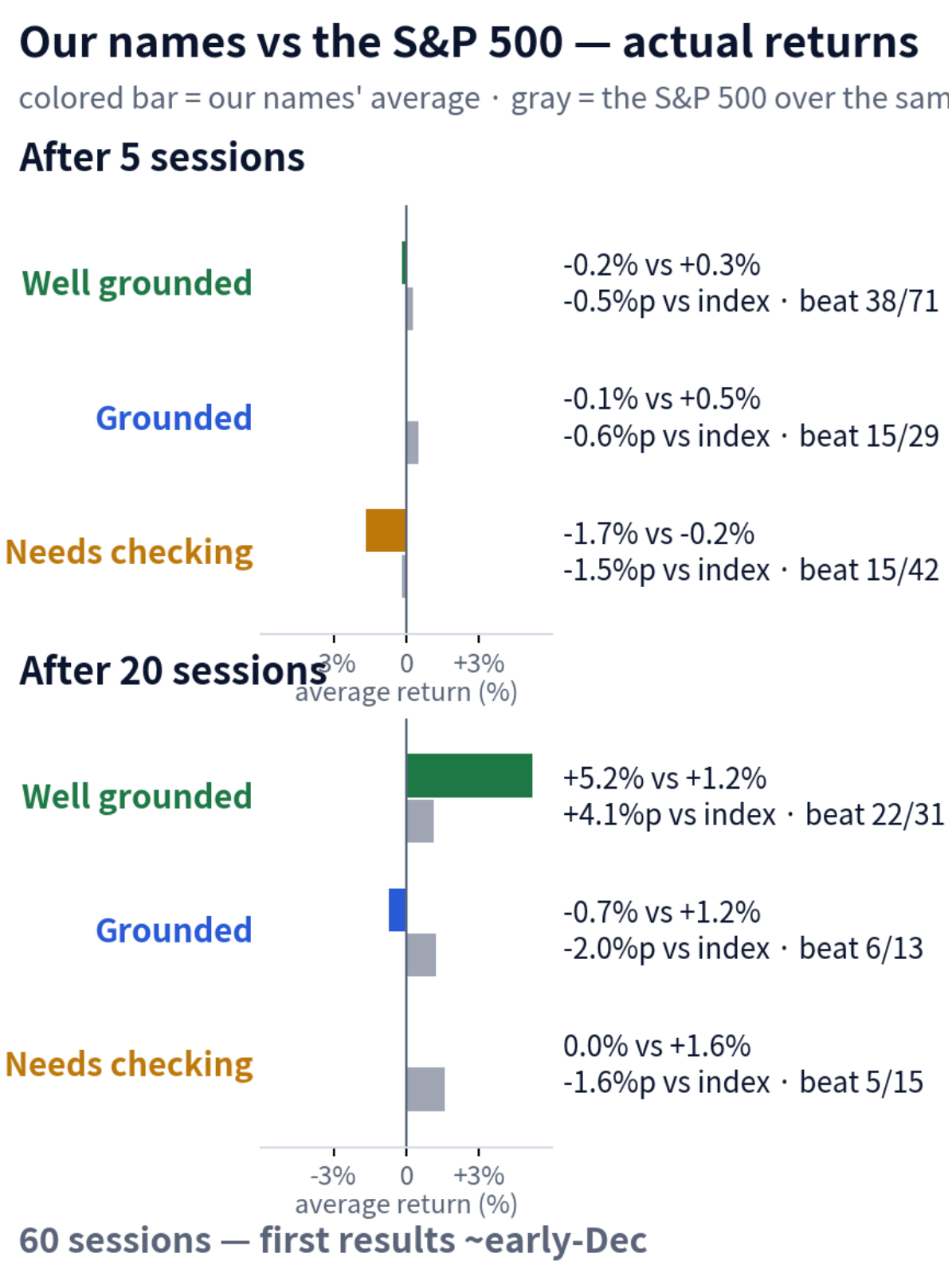
time-weighted return · since 08/11 (51 sessions)

bar height = return (%)




largest drop from a high: -8.67%

**2. Names we published — by grade**

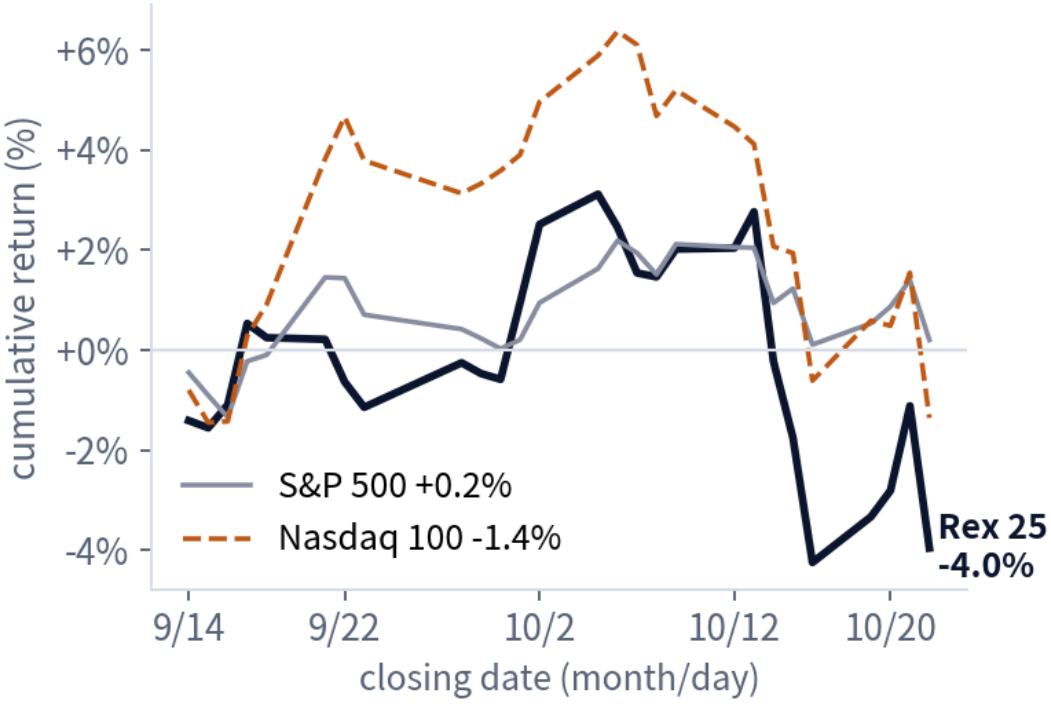



Scored from the publication-day close to 5, 20 and 60 sessions later · grades are the ones we gave on publication

**3. Rex 25**

# Rex 25 — Rex US Best vs the index

Rex 25 list + holdings, equal weight, after costs




Rex US Best — since launch (9/11), 27 sessions, after costs −3.95% · S&P 500 +0.20%

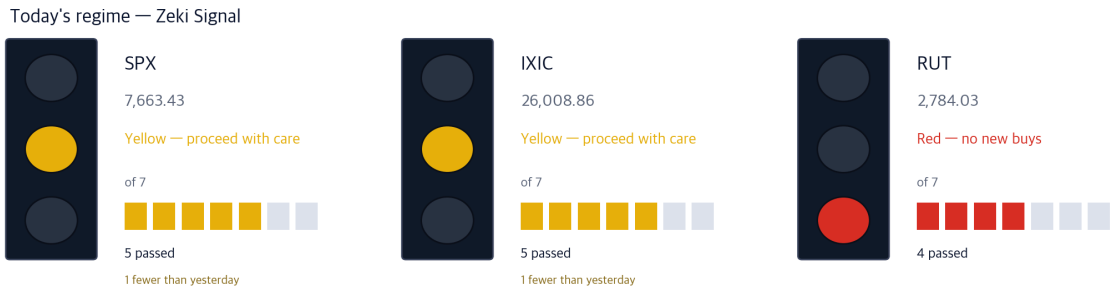
## ② Today's stance

| Hold cash | Wait and see | Buy in stages | **Add exposure** |
|---|---|---|---|

| The four tests behind the stance | Now · bar | Met |
|---|---|---|
| **Our scoring: share of well-grounded names beating the index after 5 sessions** | **54% (38/71)** 50%+ | ✓ |
| **Our scoring: the same, after 20 sessions** | **71% (22/31)** 60%+ · 10+ results | ✓ |
| **Rex 25: names clearing the bar today** | **15/25** 12+ (8 when red) | ✓ |
| **Market: Zeki signal** | **Yellow** not red | ✓ |

| What to do | What and why |
|---|---|
| **All qualifying names** | Add exposure starting with the top sectors |
| **What to leave out** | Weakest sectors and any index with a red signal |
| | 20-day hit rate under 60% → back to buying in stages |

The stance is the newsletter's editorial standard, not a trading rule.



## Live account — all 8 holdings

| Stock | Weight · since buy | Flows |
|---|---|---|
| **Phillips 66** PSX<br>since 10/13 | 13%<br>−0.4% | ↓ Weak<br>B→D |
| **Veeva Systems** VEEV<br>since 10/16 | 12%<br>+2.7% | = Flat<br>A→A |
| **Keysight Technologies** KEYS<br>since 10/19 | 12%<br>−7.4% | ↓ Weak<br>B→E |
| **Avnet** AVT<br>since 10/16 | 12%<br>−3.5% | ↓ Weak<br>A→E |
| **SharkNinja** SN<br>since 10/13 | 10%<br>+4.3% | ↓ Weak<br>B→C |
| **Marathon Petroleum** MPC<br>since 8/24 | 6%<br>+27.5% | ↓ Weak<br>A→D |
| **Dell Technologies** DELL<br>since 8/24 | 5%<br>+3.3% | ↓ Weak<br>A→E |
| **HF Sinclair** DINO<br>since 8/19 | 2%<br>+27.8% | = Flat<br>B→B |

No new trades today.

## Rex 25 — all 15 names clearing the bar

| Stock | Strength · 1-day | Flows |
|---|---|---|
| **Dell Technologies** HELD<br>DELL · Computer Hardware | 99<br>−6.8% | ↓ Weak<br>A→E |
| **Marathon Petroleum** HELD<br>MPC · Oil & Gas Refining & Marketing | 98<br>−1.9% | ↓ Weak<br>A→D |
| **HF Sinclair** HELD<br>DINO · Oil & Gas Refining & Marketing | 98<br>−2.6% | = Flat<br>B→B |
| **Okta**<br>OKTA · Software - Infrastructure | 98<br>−3.5% | ↓ Weak<br>A→E |
| **Phillips 66** HELD<br>PSX · Oil & Gas Refining & Marketing | 96<br>−1.9% | ↓ Weak<br>B→D |
| **Everpure**<br>P · Computer Hardware | 96<br>−7.4% | ↓ Weak<br>A→D |
| **Advanced Micro Devices**<br>AMD · Semiconductors | 95<br>−8.1% | ↓ Weak<br>A→E |
| **SharkNinja** HELD<br>SN · Furnishings, Fixtures & Appliances | 94<br>+0.8% | ↓ Weak<br>B→C |
| **Veeva Systems** HELD<br>VEEV · Health Information Services | 94<br>+0.6% | = Flat<br>A→A |
| **APA**<br>APA · Oil & Gas E&P | 94<br>+0.1% | = Flat<br>B→B |
| **Exelixis**<br>EXEL · Biotechnology | 91<br>+1.1% | ↓ Weak<br>A→B |
| **Nutanix**<br>NTNX · Software - Infrastructure | 91<br>−0.8% | ↓ Weak<br>B→D |

| | | |
|---|---|---|
| **Palantir Technologies** NEW<br>PLTR · Software - Infrastructure | 90<br>−2.7% | ↓ Weak<br>A→E |
| **Arrow Electronics**<br>ARW · Electronics & Computer Distribution | 90<br>−4.4% | ↓ Weak<br>A→D |
| **Targa Resources**<br>TRGP · Oil & Gas Midstream | 89<br>−2.0% | ↓ Weak<br>C→E |

Dropped: Micron Technology, Paylocity Holding

Rex 25 = names clearing our quality and trend bar (up to 25) · strength = Zeki strength (1-year, 0–99) · not a recommendation

Flows (est.) = buying-pressure grade from price and volume, A (buyers) to E (sellers), "3-month grade → last-2-week grade" · ↓ weaker = last 2 weeks weaker than the 3-month read · ↑ stronger · = flat

③ Today's issue

## A day the price of AI was marked down, and money ran to bonds

**Facts**

· On Oct. 22 the Nasdaq closed at 26,009 and the Dow rose 0.02%, while the Philadelphia chip index fell 6.7% (Yonhap).

· Meta lost $124 billion in market value, and Lam Research fell more than 10% on a disappointing sales outlook (Financial Times, Maeil Business).

· Iranian state TV said seven tankers caught fire or hit mines in the Strait of Hormuz, and Brent reached $114 in European trading on Oct. 23 (PBS NewsHour, Financial Times).

· The 10-year Treasury yield fell below 5%, its lowest in nearly a month (CNBC).

· Global hedge funds suffered one of their broadest declines since the pandemic on Oct. 22, according to Goldman Sachs' prime brokerage desk (Bloomberg).

**One step further — background and implications**

On Oct. 22 the value placed on AI was cut in three places at once. Meta lost $124 billion in market value (Financial Times), Lam Research fell more than 10% on its sales outlook (Maeil Business), and OpenAI lowered its target valuation from $1.4 trillion to $1.25 trillion (Financial Times). Money left tech for Treasurys and the yen because of that markdown (Bloomberg). That shift is why yields fell on the day the

chip index dropped 6.7%. As hedge-fund losses widened, even gold was sold (Bloomberg).

If you hold AI or chip stocks, watch two things. First, whether forced selling continues; Nasdaq futures steadied in European trading on Oct. 23 (Wall Street Journal). Second, the spending plans in Microsoft's and Alphabet's results on Wednesday, Oct. 28: if they raise investment like Meta and their shares fall, the market is repricing AI spending. The threshold is 5% on the 10-year Treasury yield. If tech keeps falling while the yield climbs back above 5%, the cause is rate pressure rather than a flight to safety, and this reading is wrong.

Our reading, kept apart from the facts

### Rex Lens — today's news in keywords

- ▸ **OpenAI trims its target valuation to $1.25 trillion**
- ▸ **Moderna sinks 17.6% after cancer-vaccine data leak early**
- ▸ **Fed meets Oct. 27-28 in a week packed with Big Tech results**
- ▸ **Trump invokes the Defense Production Act for refining**

## ④ The market and where the money went

### Key readings

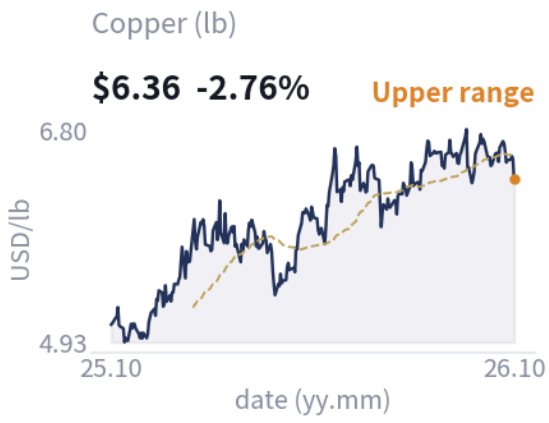
| Indicator | Value | One line |
|---|---|---|
| **S&P 500** | **7,663**<br>-1.21%<br>2.0% off high | At/near high<br>At 7,663, down 1.21% and 2.0% below its 52-week high; five of seven conditions, yellow. |
| **Nasdaq Composite** | **26,009**<br>-2.60%<br>5.8% off high | Upper range<br>At 26,009, down 2.6% and 5.8% below its high; five of seven conditions, yellow. |
| **Russell 2000** | **2,784**<br>+0.11%<br>9.3% off high | Range-bound<br>At 2,784, up 0.11% but still 9.3% below its 52-week high; four of seven conditions and red. |
| **UST 10-Year** | **4.95%**<br>-0.19 pp | Fair<br>At 4.95%, down from 5.15% on Oct. 21 and back in the middle of its one-year range. |
| **Dollar Index** | **101.6**<br>-0.17% | Upper range<br>101.6, -0.17% on the day; upper range in its one-year range. |

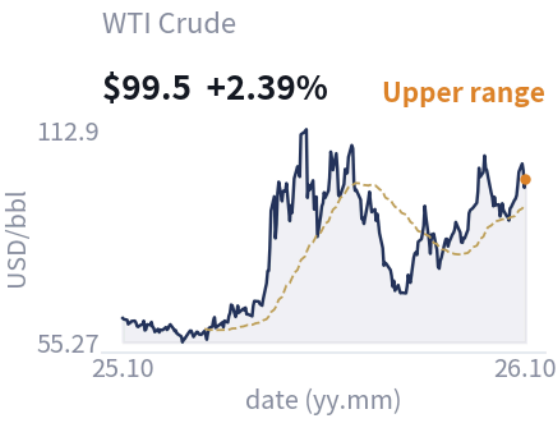
### Rex Pulse — the indicators at a glance





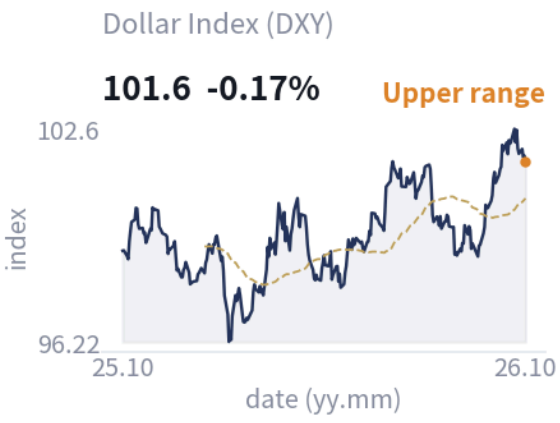








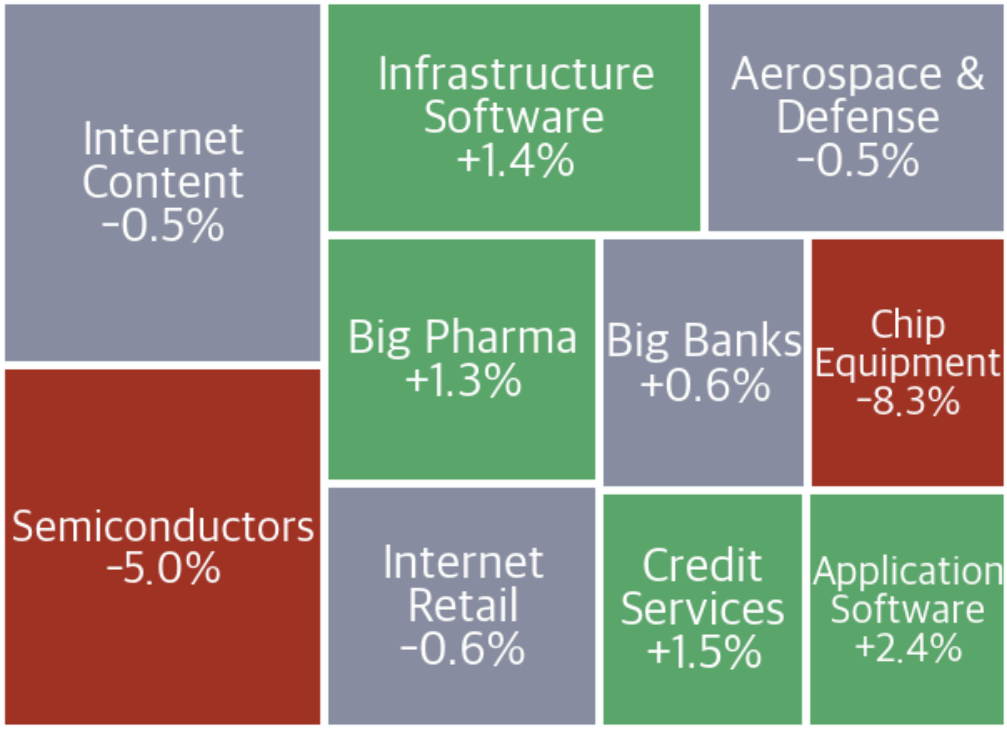






On Oct. 22 Brent settled at $113.2, in the overheated top of its one-year range. The 30-year Treasury yield eased to 5.29%, back in its fair range. Gold fell 2.16% to $4,060, Bitcoin 3.23% to $81,307, and copper 2.76%. Stocks, gold, Bitcoin and copper were sold together while only Treasurys were bought; watch whether gold stays below $4,000.

## Sectors and flows — where the money went




Biggest gainers: Grocery Stores +5.7%
· Security & Protection Services +5.5% · Consulting Services +5.5%
Biggest decliners: Metal Fabrication -8.6% · Chip Equipment -8.3%
· Electronic Parts -7.6%
95 other groups not shown · tile size = market cap (square root)

Colour = the day's move · tile size = market cap

Measured on the Oct. 22 close. Computer hardware tops the table at Zeki Strength 92, followed by infrastructure software (87) and large drugmakers (84.5). Refining scores higher at 96 but has only four names, so it sits outside the table.

Office REITs (18 places), financial data and exchanges (15) and insurance brokers (12) rose furthest, while chip equipment (29), engineering and construction (24) and electrical equipment (21) fell furthest, on three-day average ranks. Capital is leaving chip equipment and capital-spending industries for financials and REITs. If you hold chip-equipment stocks, watch whether volume returns on the day their rank turns up.

### ⑤ Rex Radar — the calendar ahead

| | |
|---|---|
| **Monday, Oct. 26** | China's fifth plenum opens — It follows mainland stocks entering a bear market (Bloomberg); any consumer stimulus matters for companies with heavy China sales. |
| **Tuesday, Oct. 27** | Israel's election — The result could decide whether conflict with Iran resumes (Haaretz), which moves oil. |

| | |
|---|---|
| **Tuesday-Wednesday, Oct. 27-28** | Fed policy meeting — Shows whether the 10-year stays below 5% and how heavy AI companies' bond burden becomes. |
| **Wednesday, Oct. 28** | Microsoft and Alphabet results — How the shares react to their spending plans sets the next direction for AI stocks. |
| **Wednesday, Oct. 28** | Phillips 66 and HF Sinclair results — Shows whether refining margins held with Brent above $113. |
| **Thursday, Oct. 29** | Amazon results — Shows whether its cloud spending points the same way as Microsoft's and Alphabet's. |
| **Friday, Oct. 30** | Bank of Japan policy meeting — September CPI rose 2.1%, above target (Yonhap); with a hold expected, the question is whether the yen keeps firming. |
| **Tuesday, Nov. 3** | US midterm elections — The balance of Congress can shift the fiscal outlook and the direction of long rates. |

Next week's scenarios: the Saturday edition, **ZekiRex™ Weekly**.

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**This is the Rex Way, ZekiRex™**